

THIS PAGE INTENTIONALLY LEFT BLANK

**Air Force Working Capital Fund
Budget Overview
Fiscal Year (FY) 2025 President's Budget (PB)**

Increasing lethality and improving readiness to prepare for the high-end fight is a primary objective of the Air Force's FY 2025 President's Budget (PB). The Air Force Working Capital Fund (AFWCF) contributes to Air Force readiness through the depots' skills to sustain the AF's organically maintained weapon systems and logistically manage the supply chain's critical assets. As a world-class organization, the AFWCF responds rapidly to customer needs on par with private sector defense firms with tremendous flexibility to meet surge requirements.

AFWCF Blue is the portion of the working capital fund the AF manages (see below in Activity Group Overview for additional details), therefore does not include Transportation Working Capital Fund (TWCF). AFWCF Blue Cash ended FY 2023 at \$1,088.6 million and FY 2024 and FY 2025 are expected to build cash and remain within the upper and lower cash limits, ending FY 2025 with \$1,730.8 million.

Activity Group Overview

The AFWCF Blue conducts business in two primary areas: the Consolidated Sustainment Activity Group and the Supply Management Activity Group-Retail. The Transportation Working Capital Fund (TWCF), for which the Air Force assumed responsibility for cash oversight in FY 1998, is part of this submission. However, United States Transportation Command (USTRANSCOM), rather than the Air Force, has management responsibility for TWCF's day-to-day operations.

Air Force Core Strategic Capabilities

In support of Air Force core functions, the AFWCF activities provide maintenance services, weapon system parts, base and medical supplies, and transportation services. The working capital funds are integral to the readiness and sustainability of our air, space, and cyber assets and our ability to deploy forces worldwide and across any theater to support overseas operations and National Defense Strategy interests. Maintenance depots provide equipment, skills, and repair services that keep forces operating worldwide. Supply Management activities procure and manage inventories of consumable and repairable spare parts that support all the force structure mission-ready. USTRANSCOM is the single DoD manager for the Defense Transportation System (DTS) in peace and war. Working capital fund activities, directly and indirectly, provide warfighters the critical services needed to meet global mission capability requirements.

Consolidated Sustainment Activity Group

The Consolidated Sustainment Activity Group (CSAG) mission is supply management of reparable and consumable items and maintenance services. CSAG is managed under a Chief Executive Officer structure. The Air Force Material Command (AFMC) Commander (AFMC/CC) is the Chief Executive Officer (CEO). The AFMC Director of Logistics (HQ AFMC/A4) serves as the Chief Operating Officer (COO), and the AFMC Director of Financial Management (HQ AFMC/FM) is the Chief Financial Officer (CFO). The Air Force Sustainment Center (AFSC), one of the six centers within AFMC, directs both CSAG divisions' day-to-day operations. The activity operates with two divisions: Maintenance and Supply.

Maintenance Division

The CSAG-M repairs weapon systems and spare parts to ensure readiness in peacetime and to provide sustainment for overseas operations. The division enhances readiness by efficiently and economically repairing, overhauling, and modifying aircraft, engines, missiles, components and software to meet customer demands. The CSAG-M depots have unique skills and equipment required to support and overhaul both new, complex components and aging weapon systems. During contingencies, the depots can surge repair operations and realign capacity to support the war fighter's immediate needs.

CSAG-M remains a fundamental element of both readiness and sustainability by providing a cost-effective, rapid repair capability. CSAG-M repair and overhaul capabilities are accomplished by one of the six centers within the Air Force Materiel Command (AFMC), the Air Force Sustainment Center (AFSC) and its Air Logistics Complex (ALC) depots. The division operates on funds received from its customers through sales of its services.

Supply Division

The CSAG Supply Division is responsible primarily for Air Force-managed, depot-level reparable spares and consumable spares unique to the Air Force. Reparable supply items are economically maintained through overhaul or repair. Consumable supply items are consumed in use or discarded when worn out or broken because they cannot be repaired economically. In addition to management of these inventories, the CSAG Supply Division provides a wide range of logistics support services including requirements forecasting, item introduction, cataloging, provisioning, procurement, repair, technical support, data management, item disposal, distribution management, and transportation.

The CSAG Supply Division works to reduce the impact of Diminishing Manufacturing Sources and Material Shortages (DMSMS) and other obsolescence issues associated with aging aircraft fleets. Due to fleet age and utilized antiquated technology, the number of parts without qualified manufacturing or repair source is expected to continue to be a problem. To address these DMSMS and other obsolescence issues, the CSAG Supply Division re-engineers parts which can no longer be produced or repaired. The CSAG Supply Division also proactively identifies parts for which availability is at risk due to DMSMS issues, taking appropriate action to minimize adverse impact to weapon system readiness.

Supply Management Activity Group–Retail

The Supply Management Activity Group-Retail (SMAG-R) manages approximately 2.0 million inventory items, including weapon system spare parts, medical-dental supplies and equipment, and other supply items used in non-weapon system applications. The Air Force SMAG-R is a critical component in combat readiness by procuring materiel and makes spares available to authorized retail customers. The activity operates with three divisions: General Support, Medical Dental, and the Air Force Academy. The Medical Dental Division inventory includes a War Reserve Materiel (WRM) Stockpile. WRM provides initial warfighting capability until re-supply lines sustain wartime demands for medical and dental supplies and equipment.

The SMAG-R provides a wide range of logistics support services, including requirements forecasting, item introduction, cataloging, provisioning, procurement, repair, technical support, data management, item disposal, distribution management, and transportation. Inventories are an integral part of SMAG-R and are maintained by each of the divisions supporting customer requirements. The SMAG-R objective is to replenish stocks and provide supplies to customers on time within customer funding constraints while maintaining fund solvency.

Transportation Working Capital Funds

USTRANSCOM's mission includes providing air, land, and sea transportation for the DoD with a primary focus on wartime readiness. USTRANSCOM's \$9.6 billion budget provides synchronized transportation and sustainment, making it possible to project and maintain national power where needed, with the greatest speed and agility, the highest efficiency, and the most reliable level of trust and accuracy. The assigned Unified Command Plan tasks are executed through three component commands (U.S. Army's Military Surface Deployment and Distribution Command (SDDC), U.S. Navy's Military Sealift Command (MSC), and U.S. Air Force's Air Mobility Command (AMC)) and one major subordinate command (Joint Enabling Capabilities Command (JECC)). This joint team of transportation components provides mobility forces and assets for a seamless transition from peace to war. USTRANSCOM is always ready to meet the strategic mobility needs of the nation. A brief description of the role of each Transportation Component Command follows: